



Subordination Requirements

Below are Flagstar's requirements in order to consider a request to subordinate our second mortgage or Home Equity Line of Credit (HELOC) to a new first mortgage. All requests will be reviewed for approval on a case by case basis.

GUIDELINES

- Flagstar will not subordinate to cash-out refinances or reverse mortgages.
- There can be no 30-day delinquencies on our loan in the last 24 months.
- Allow no less than 7-10 business days return time when requesting to subordinate.
- You must supply us with a coversheet that includes your name, e-mail address, phone number, address, Flagstar Bank current second loan number and mailing instructions.
- Subordination will be sent back to you via regular mail unless priority mail is designated and your account number is provided. (Providing a prepared prepaid label and/or envelope will shorten turn time)

Failure to comply with all requirements may delay the review of your subordination request. All items required for this request should be sent to the following address:

Flagstar Bank
Attention: Collateral Management
Mail Stop: E-170-3
5151 Corporate Drive
Troy, MI 48098

REQUIREMENTS

1. A fully prepared subordination agreement that includes the following information:
 - a. Name of party or parties refinancing.
 - b. The full amount of the party's new loan.
 - c. The name of the new lender.
 - d. The original loan amount of our second mortgage or full credit line amount of our HELOC.
 - e. A place for the notary officer and witness (if applicable) to sign.
 - f. If title shows MERS as beneficiary, our name needs to read on the subordination agreement as follows: Mortgage Electronic Registration Systems, Inc. (MERS) as nominee for Flagstar Bank, N.A.
2. Payment amounts (P&I) and loan types for the new first and the current first mortgage loans.
3. Application (1003) showing no cash out.
4. A check for \$300 subordination fee payable to Flagstar Bank. ^{1 2}
 - a. North Carolina Only: \$250.00 Non-Refundable fee if the new loan is \$300 thousand or more
 - b. North Carolina Only: No fee if the new loan is less than \$300 thousand
 - c. California Only: No fee required
5. A copy of the title commitment.
6. A copy of the new appraisal and underwriting summary (1008).
7. Copy of the Desktop Underwriting (DU) Findings showing Approve/Eligible, if applicable

Reviewed – no updates or changes made 8-2-22 - John Cleary



Subordination Requirements

8. A copy of the approval letter for the new first loan.
9. A prepaid label and/or envelope will shorten turn time.
1. If the subordination needs to be redone for any reason an additional \$ 25.00 will be charged.
2. Non-Refundable

Please contact the Collateral Management Department at subordinations@flagstar.com with any questions or concerns.

Reviewed – no updates or changes made 8-2-22 - John Cleary